

whether or not coupons are still a viable way for brand marketers to promote new products, then coupons are still a valuable marketing strategy.

In June of 2010, a social media marketing company called Syncapse looked at how valuable Facebook fans were to companies and estimated that someone who has “Liked” a brand will spend an average of \$71.84 more each year on that brand’s products or services than will someone who has not “Liked” it, for a total average annualized value of \$136.38. Product spending was only one of the six fan benefits that Syncapse studied. The others were loyalty, propensity to recommend, brand affinity, media value, and acquisition cost. In most cases, the average fan was more valuable to the brand than the average non-fan.

Three Deep Marketing has worked with many well-known CPG brands that target moms. Their Google and BabyCenter Mom’s research supports these claims, indicating that using coupons for acquisition of new customers is a tactic that should continue to be used by CPG marketers. They found that seven out of ten moms will buy a brand at least twice after trying it with an online coupon. A 2000 study by Promotion Decisions found that advertising tended to produce twice the initial bump in sales it created, while trade promotions had little long-term multiplier effect. Coupons, however, fell somewhere in-between, generating more repeat purchases than the trade promotion, but less than advertising.